

Result below estimates, recoveries at 74% v/s expectations of 80%.

- **Revenue** -26% YoY and +67% QoQ at Rs 6147.4mn (88% volume recovery)
- **EBIDTA** -55.4% YoY to Rs 1171.4mn
- **EBIDTA margins** 19.05% v/s 31.65% YoY and 4.9% QoQ
- **Other Income** -22.6% YoY to Rs 132mn
- **PBT (before exceptional)** -77% YoY to Rs 401mn
- **PAT** -75% YoY to Rs 291mn

Other Details

- **RM to Revenue** 48.5% v/s 39.3% YoY and 49.6% QoQ
- **Employee cost** -16.8% YoY -2% QoQ at Rs 811mn
- **Rent** -14% YoY to Rs 112mn (as % to Revenue 1.8% v/s 1.6% YoY)
- **Other Expenses** 17.5% v/s 15.7% YoY
- **Rent concession** for Q3FY21 stood at Rs 85.61mn (netted off from rent) || 9M rent concession (including Rs 38.39mn towards for subsequent qtr) at Rs 861.37mn (of which Rs 560.95mn under rent and 300.42 under Other income)
- **Exceptional items:** Rs 46.1 mns in Q3FY21 towards VRS at manufacturing facilities and company retail stores

Important Key Takeaways

- **Volume recovery:** stood at 88% YoY owing to good recoveries in Casual, fitness and essential categories. Formal and Fashion categories continued to be a drag on recoveries.
- **Digital channel** including E-Commerce, Bata on wheels and Bata Chatshop continued its high growth momentum, growing 3x YoY. This channel now contributes 15% to revenues
- **Manufacturing:** as demand picked up in January 2021, production inched back to pre-covid levels.
- **Store Openings:** opened 45 new franchise stores in the quarter, total at 221 currently. Some of the stores opened in towns with 50k-3L population count.

Financial Summary

Y/E Mar (Rs mn)	FY19	FY20	FY21E	FY22E	FY23E
Net sales	29,311	30,561	16,467	33,978	37,083
Adjusted net profit	3,290	3,290	(944)	4,060	4,475
EPS (Rs)	26	26	(7)	32	35
P/E (x)	60	60	(208)	49	44
P/B (x)	11	10	11	9	8
EV/EBITDA (x)	40	23	124	20	18
RoCE (%)	46	27	(6)	27	28
RoE (%)	19	17	(5)	19	18

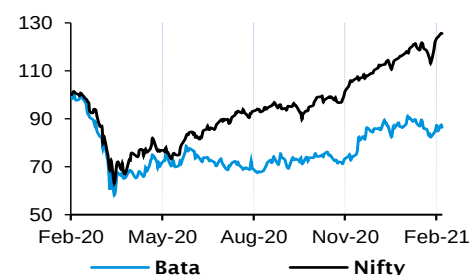
Source: Company

Rating	TP (Rs)	Up/Dn (%)
BUY ON DIPS	1575	3

Market data

Current price	Rs	1,532
Market Cap (Rs.Bn)	(Rs Bn)	197
Market Cap (US\$ Mn)	(US\$ Mn)	2708
Face Value	Rs	5
52 Weeks High/Low	Rs	1845/1017
Average Daily Volume	('000)	813
BSE Code		500043
Bloomberg		BATA:IN

Source: Bloomberg

One Year Performance

Source: Bloomberg

% Shareholding	Dec-20	Sep-20
Promoters	52.96	52.96
Public	47.04	47.04
Others	0.00	0.00
Total	100	100

Source: BSE

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Quarterly Snapshot

Particulars (Rs Mns)	Q3FY21 Post INDAS	Q3FY20 Post IND AS	Growth (%)	9MFY21	9MFY20	Growth
Net Sales	6147	8296	(25.9)	11174	24337	(54)
Other Operating Income				0	0	
Total Operating Income	6147	8296	(25.9)	11174	24337	(54)
Other Income	132	171	(22.6)	796	517	54
TOTAL INCOME	6279	8467	(25.8)	11970	24855	(52)
Total Raw Material Costs	(2,980)	(3,264)	(8.7)	(5,608)	(10,407)	(46)
Employee Cost	(811)	(975)	(16.8)	(2,485)	(2,845)	(13)
Rent	(112)	(130)	(14.0)	(113)	(335)	(66)
Other Expenses	(1,073)	(1,302)	(17.6)	(2,476)	(3,841)	(36)
EXPENDITURE	(4,976)	(5,671)	(12.2)	(10,682)	(17,428)	(39)
EBIDTA	1303	2797	(53.4)	1287	7427	(83)
EBIDTA (Excl O. Income)	1171	2626	(55.4)	492	6909	(93)
Less: Depreciation	(652)	(765)	(14.7)	(2,028)	(2,243)	(10)
PBIT	651	2032	(68.0)	(740)	5,183	(114)
Less: Interest Cost	(250)	(285)	(12.2)	(794)	(906)	(12)
PBT (Before Exceptional)	401	1747	(77.0)	-1534	4277	(136)
Exceptional	(46)			(46)		
PBT (Post Exceptional)	355	1747	(79.7)	(1,580)	4,277	(137)
Tax	(97)	(575)	(83.2)	383	(1,384)	(128)
PAT (Reported)	258	1172	(78.0)	(1,197)	2,893	(141)
PAT (Adjusted)	291	1172	(75.1)	(1,162)	2893	(140)
Equity	643	643		643	643	
FV	5	5		5	5	
EPS (On reported PAT)	2	9	(78.0)	-9	23	(141)
EPS (on adjusted PAT)	2	9	(75.1)	-9	23	(140)
OPM	19	32		4	28	
NPM (Reported PAT)	4	14		(10)	12	
Tax Rate	(27)	(33)		(24)	(32)	
% of Total Operating Income						
Raw Materials	(48)	(39)		(50)	(43)	
Employee Cost	(13)	(12)		(22)	(12)	
Rent	(2)	(2)		(1)	(1)	
Other Expenses	(17)	(16)		(22)	(16)	
EXPENDITURE	(81)	(68)		(96)	(72)	

Valuation & Outlook

Bata is trading at 48.5x FY22e EPS of Rs 31.6 and 44x FY23e EPS of Rs 34.8. We rollover to FY23 and assign a 45x multiple to arrive at a target price of Rs. 1575, i.e upside of 3%. We believe recoveries for Bata will be slower compared to peers on account of his product mix i.e high weightage on formal and fashion footwear. Thus we believe stock could remain under pressure going in short to medium term. We thus recommend investors to **BUY ON DIPS**.

Financials

P&L (Rs mn)	FY19	FY20	FY21E	FY22E	FY23E	Cash Flow St. (Rs. mn)	FY19	FY20	FY21E	FY22E	FY23E
Net Operating Income	29,311	30,561	16,467	33,978	37,083	Net Profit	3,290	3,290	(990)	4,060	4,475
						Add: Dep. & Amort.	640	2,958	2,680	3,283	3,594
						Cash profits	3,930	6,248	1,690	7,342	8,069
Raw Materials	(12,871)	(12,966)	(7,990)	(14,542)	(15,834)	(Inc)/Dec in					
Employee Cost	(3,311)	(3,764)	(3,296)	(4,229)	(4,614)	-Sundry debtors	230	31	136	(435)	(85)
Other Expenses	(8,359)	(5,510)	(3,678)	(6,008)	(6,533)	-Inventories	(742)	(343)	3,097	(4,042)	(885)
Total Expenses	(24,540)	(22,240)	(14,963)	(24,780)	(26,981)	-Loans/advances	(105)	(192)	(11)	(189)	(149)
Operating Profit	4,771	8,321	1,504	9,198	10,102	-Current Assets	77	(277)	-	(310)	(238)
Depreciation	(640)	(2,958)	(2,680)	(3,283)	(3,594)	-Sundry creditors	325	(1,126)	(1,750)	2,494	513
PBIT	4,130	5,363	(1,177)	5,915	6,507	-Others	330	(302)	2	92	102
Other income	682	687	975	697	772	Change in working capital	116	(2,209)	1,475	(2,390)	(742)
Interest	(35)	(1,177)	(1,074)	(1,187)	(1,299)	CF from Oper. activities	4,046	4,038	3,165	4,953	7,327
Extraordinary Items	-	-	-	-	-	CF from Inv. activities	(893)	(13,513)	(2,374)	(4,342)	(4,585)
Profit before tax	4,777	4,872	(1,276)	5,425	5,980	CF from Fin. activities	(662)	10,711	(480)	467	312
Provision for tax	(1,487)	(1,583)	331	(1,365)	(1,505)	Cash generated/(utilised)	2,491	1,236	311	1,078	3,055
Reported PAT	3,290	3,290	(944)	4,060	4,475	Cash at start of the year	5,912	8,403	9,639	9,951	11,028
Extraordinary Items	-	-	-	-	-	Cash at end of the year	8,403	9,639	9,951	11,028	14,083
Minority Interest	-	-	-	-	-						
Adjusted PAT	3,290	3,290	(944)	4,060	4,475						
Balance Sheet	FY19	FY20	FY21E	FY22E	FY23E	Ratios	FY19	FY20	FY21E	FY22E	FY23E
Equity capital	643	643	643	643	643	OPM	16	27	9	27	27
Reserves	16,776	18,297	17,306	20,746	24,446	NPM	11	11	(5)	12	12
Net worth	17,418	18,939	17,949	21,388	25,089	Tax rate	(31)	(32)	(26)	(25)	(25)
Def. Tax Liab.+Minority Int.	-	-	-	-	-	Growth Ratios (%)					
Longterm Debt	-	-	-	-	-	Net Sales	11	4	(46)	106	9
Short Term Debt	-	-	-	-	-	Operating Profit	36	74	(82)	512	10
Total debt	-	-	-	-	-	PAT	49	(0)	(129)	(530)	10
Lease Liability	-	10,353	10,353	11,440	12,527						
CAPITAL EMPLOYED	17,418	29,293	28,302	32,829	37,616						
Total fixed assets	3,338	13,893	13,586	14,645	15,635	Per Share (Rs.)					
Goodwill	-	-	-	-	-	Net Earnings (EPS) (FV5)	26	26	(7)	32	35
Investments	-	-	-	-	-	Cash Earnings (CPS)	31	49	13	57	63
Inventories	8,394	8,737	5,639	9,681	10,566	Dividend	4	4	0	4	5
Sundry debtors	664	633	496	931	1,016	Book Value	136	147	140	166	195
Cash & bank	8,403	9,639	9,951	11,028	14,083	Free Cash Flow	24	33	29	32	52
Loans & advances	1,055	1,247	1,257	1,446	1,595						
Other current assets	1,790	2,066	2,066	2,376	2,614	Valuation Ratios					
Sundry creditors	(6,160)	(5,034)	(3,284)	(5,777)	(6,290)	P/E(x)	60	60	(208)	49	44
O. Current Liabilities	(983)	(753)	(753)	(828)	(911)	P/B(x)	11	10	11	9	8
Provisions	(179)	(2,245)	(2,248)	(2,264)	(2,283)	EV/EBIDTA(x)	40	23	124	20	18
Working capital	12,982	14,290	13,126	16,594	20,390	Div. Yield(%)	0	0	0	0	0
Deferred Tax Assets	1,099	1,110	1,590	1,590	1,590	FCF Yield(%)	2	2	2	2	3
Miscellaneous exp.	-	-	-	-	-						
CAPITAL DEPLOYED	17,418	29,293	28,302	32,829	37,616	Return Ratios (%)					
						ROE	19	17	(5)	19	18
						ROCE (Excluding Financial Liability)	24	28	(7)	28	26
						ROCE (Excluding Cash & Bank)	46	27	(6)	27	28

Source: Dalal & Broacha Research, Company

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